

Going Limited

A Beginner's Guide to Incorporating Your E-commerce Business,
Opening a Business Bank Account, Registering for VAT,
and Setting Up Efficient Bookkeeping with Xero & Monzo

Prepared for: A UK sole trader e-commerce business (~£100k turnover) moving to a limited company

Covers: Companies House incorporation, VAT registration (£90,000 threshold), business banking, Xero setup, Making Tax Digital, statutory filing deadlines, and record-keeping obligations.

General guidance only — not a substitute for advice from a qualified accountant. Rules and thresholds current as of 2026 and subject to change by HMRC/Companies House.

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1. Overview: Sole Trader to Limited Company

At around £100,000 turnover you are past the VAT threshold and it is a sensible point to consider incorporating. Moving from sole trader to limited company changes several things at once: a new legal entity, a new tax regime, new statutory paperwork, and (usually) the need for tighter bookkeeping. This guide walks through the whole transition in the order you should actually do it, then explains the ongoing obligations you take on once the company exists.

What changes when you incorporate

- Your business becomes a separate legal person ("the company"), distinct from you personally. It owns the assets, owes the debts, signs the contracts, and pays its own Corporation Tax.
- You become a director (running the company, with legal duties) and usually also a shareholder (owning it). These are two distinct roles with different responsibilities.
- Profit is no longer automatically "yours" — you extract money via salary, dividends, or expense reimbursement, each taxed differently.
- Limited liability: your personal assets are generally protected from business debts (beyond what you have invested/guaranteed), which is a key benefit over sole trader status.
- You take on new statutory filing obligations with both Companies House and HMRC (details in Sections 7–9).

Why incorporate around £100k turnover

- Potential Corporation Tax savings versus Income Tax + Class 2/4 NIC as a sole trader, especially if you leave some profit in the company.
- More credible to suppliers, marketplaces (e.g. Amazon Business, wholesalers), and payment providers.
- Limited liability protection as stock, supplier contracts and customer disputes grow.
 - Easier to bring in an investor, business partner, or eventually sell the business.

Note

Incorporating is not automatically cheaper. Whether it saves tax depends on how much you need to take out personally, your other income, and dividend tax rates. This is one of the main reasons to get at least one-off consultation with an accountant before/at the point of incorporation (see Section 10).

2. Step-by-Step Setup Plan

Do these roughly in this order. Some steps can run in parallel (marked with *).

1. Decide company name, structure and share split

Choose a company name (check availability on the Companies House "Company Name Availability" search), decide who the shareholder(s)/director(s) will be, and how many shares to issue (a simple single-owner setup is usually 1–100 ordinary £1 shares, all held by you).

2. Register the company with Companies House

Incorporate online (see Section 3). This costs £50 (standard online service, current as of 2026 — check gov.uk for the latest fee) and usually completes within 24 hours. You receive a Certificate of Incorporation and company number.

3. Register for Corporation Tax with HMRC

You must do this within 3 months of starting to trade through the company. Often done automatically or shortly after incorporation via HMRC's online service using your company number and Unique Taxpayer Reference (UTR), which HMRC posts to your registered office within a few days of incorporation.

4. Open a business bank account (Monzo Business or similar) *

Apply as soon as you have your Certificate of Incorporation and company number — most banks require this. See Section 4.

5. Set up Xero and connect the bank feed *

Create your Xero organisation for the new limited company (a new file — do not just rename your sole trader one), set the start date, chart of accounts, and connect the Monzo feed. See Section 6.

6. Move the business from sole trader to limited company

Notify suppliers, payment processors (Stripe, PayPal, Shopify Payments, Amazon), and marketplaces of the new legal entity and bank details. Transfer or novate contracts where required. Decide how to move stock/assets across (see below) and tell HMRC you have stopped trading as a sole trader (final Self Assessment return still required for the sole trader period).

7. Register for VAT

If you are already over the £90,000 rolling 12-month threshold as a sole trader, note that VAT registration follows the taxable person, not the trading vehicle — you may already need to be VAT-registered, and this registration can transfer to or be replaced by a new registration for the company (a "transfer of a going concern" — TOGC). Take advice here; timing and continuity of your VAT number matters. See Section 5.

8. Set up PAYE (if you will take a salary) *

Register the company as an employer with HMRC if you plan to pay yourself (or anyone) a salary via payroll. Many director/shareholders take a small salary plus dividends — get advice on the optimal split.

9. Put in place statutory registers and a registered office

Even a simple company needs a register of members, register of directors, and a registered office address (can be your home, your accountant's address, or a registered office service). Companies House now requires an "appropriate address" and, since 2024 reforms, ID verification is being phased in for directors.

10. Get business insurance appropriate to e-commerce

Public/product liability insurance is worth considering, especially once you are invoicing under a limited company and selling physical goods.

11. Brief an accountant or bookkeeper (recommended)

Even if you plan to do most day-to-day bookkeeping yourself in Xero, get at least one paid consultation to check your VAT scheme choice, salary/dividend split, and first-year accounts approach. See Section 10.

3. Setting Up Your Limited Company at Companies House

What you need before you start

- A company name not already taken / too similar to an existing one, and not containing sensitive/restricted words.
- A registered office address in the UK (public record — many people use their accountant's address rather than home address for privacy).
- At least one director (must be a real person, 16+, not disqualified).
- At least one shareholder (can be the same person as the director) and a Standard Industrial Classification (SIC) code describing your e-commerce activity, e.g. 47910 "Retail sale via mail order houses or via Internet".
- A "memorandum" (automatically generated) and "articles of association" (the standard Model Articles are fine for almost all small companies).
- A Persons with Significant Control (PSC) declaration — as sole owner, that is you.

How to register

The simplest and cheapest route is to register directly online via gov.uk ("Register your company" service), which costs a small fee (around £50 as of 2026) and is usually completed within 24 hours. Alternatively, many formation agents (and accountants) will incorporate on your behalf, sometimes bundled with a business bank account referral, for a similar or slightly higher fee. Avoid paying large sums for "company formation packages" you do not need — the core service is simple.

Companies House ID verification (2025–2027 rollout)

Companies House is introducing identity verification for directors and PSCs as part of the Economic Crime and Corporate Transparency Act reforms. Check gov.uk directly at the time you incorporate, as requirements are being phased in and you will need to comply within the applicable transition window.

What you receive

- Certificate of Incorporation, showing your company number and incorporation date.
- Memorandum and Articles of Association.
 - A Unique Taxpayer Reference (UTR) for Corporation Tax, posted separately by HMRC within 14 days.

Immediately after incorporation, register for Corporation Tax online (within 3 months of starting to trade) using your company number and UTR — this also sets your "accounting reference date" (financial year end), which by default is the last day of the month of incorporation, one year later (e.g. incorporate 15 June 2026 !' first year end 30 June 2027). You can change this later if you want to align with your VAT quarters or personal tax planning.

4. Opening a Business Bank Account (Monzo Business)

Monzo Business is a good fit for a small e-commerce company: free tier available, fast setup, good mobile app, receipt-capture, and a direct Xero integration for automatic bank feeds. It is an e-money institution (via Monzo Bank Ltd, which is a fully licensed UK bank and FSCS-protected up to £85,000), so functionally it behaves like a normal business current account for day-to-day use.

Steps to open the account

1. Have your company documents ready

Certificate of Incorporation, company number, registered office address, and details of all directors/ PSCs (ID documents, proof of address).

2. Apply in the Monzo app

Download the Monzo Business app, select "limited company," and complete the application — this is usually near-instant for straightforward single-director companies, though some applications go to manual review.

3. Verify identity

You will need to verify your identity (photo ID + selfie) and the company's registration details, which Monzo checks against Companies House.

4. Choose a plan

Monzo Business offers a free tier and paid tiers (e.g. "Pro") with extra features like multiple pots, invoicing tools, and higher limits — the free tier is normally sufficient at your turnover level to start.

5. Fund the account and update payment details everywhere

Move starting capital in, then update your Shopify/marketplace payout details, supplier direct debits, and any subscriptions to pull from the new company account, not your personal or sole trader account.

Best practice for the account itself

- Never mix personal and business transactions through this account — it should be 100% business, even though as a director you are legally allowed to pay yourself from it (via payroll/dividends), which is different from using it for personal shopping.
- Use Monzo "Pots" to automatically set aside money for VAT and Corporation Tax as you go (e.g. a standing rule that moves 20% of incoming sales into a "Tax" pot) — this avoids the classic problem of spending your VAT/tax money before the bill arrives.
- Turn on instant notifications and reconcile little and often rather than in one big batch.
 - Keep a small cash buffer separate from your tax pots for short-term stock purchases — do not let stock buying eat into money already earmarked for VAT/Corporation Tax.

5. Registering for VAT

The threshold

You must register for VAT once your taxable turnover exceeds £90,000 in any rolling 12-month period (not your accounting year — checked at the end of every month), or if you expect to exceed £90,000 in the next 30 days alone. The deregistration threshold, if turnover later falls, is £88,000. These figures are current for the 2026/27 tax year but are set by HMRC/gov.uk and can change — always check gov.uk before acting.

Registering the company (not your old sole trader business)

VAT registration attaches to the "taxable person." If you are already VAT-registered as a sole trader and now transfer the business into the limited company, this is normally treated as a Transfer of a Going Concern (TOGC), and you have choices about whether to keep the same VAT number (transferred to the company) or cancel the old registration and get a new one for the company. Get advice on this specific point — getting it wrong can create gaps in VAT coverage or double-counting of the threshold.

How to register

- Register online via your Government Gateway / HMRC business tax account (VAT1 process) — you will need your company number, UTR, bank details, SIC code, and turnover estimates.
- HMRC typically issues a VAT number within 10–30 working days.
- You will get an effective date of registration (EDR), from which you must charge VAT on relevant sales — decide urgently whether/how to adjust your product prices to absorb or pass on the 20% VAT.

Choosing a VAT scheme

Several accounting schemes are available; the right one depends on your margins and customer mix.

Scheme	Best for	Key point
Standard (accrual) VAT accounting	Most e-commerce sellers	VAT accounted for when invoices are raised/received, not when cash moves.
Cash Accounting Scheme	Businesses with slow-paying customers (turnover up to £1.35m)	Pay/reclaim VAT only when cash actually moves — helps cash flow.
Flat Rate Scheme	Simple businesses with low reclaimable input VAT (turnover up to £150,000)	Pay a fixed % of gross turnover instead of tracking input/output VAT in detail — simpler admin, but often more costly for stock-heavy e-commerce due to limited VAT reclaim on goods purchased for resale. Get an accountant to run the numbers before choosing.
Annual Accounting Scheme	Businesses wanting fewer return filings (turnover up to £1.35m)	One VAT return a year, with instalment payments — reduces admin frequency but not the total VAT due.

Flat Rate Scheme caution for e-commerce

Many resellers buying stock at wholesale prices actually pay MORE VAT overall on the Flat Rate Scheme than under standard VAT accounting, because you cannot reclaim input VAT on most purchases. Ask your accountant to model both options using your real gross margin before choosing.

Making Tax Digital (MTD) for VAT

All VAT-registered businesses must keep digital VAT records and submit VAT returns using MTD-compatible software — there are no exemptions for small businesses on this point. Xero is fully MTD-compatible, so once your bank feeds and sales channels are correctly recorded in Xero, quarterly VAT returns are largely automated (see Section 6).

VAT returns going forward

- Filed (almost always) quarterly, one calendar month and 7 days after the end of each VAT quarter.
- Payment is due at the same time as the return — set up a Direct Debit from your Monzo account for automatic collection to avoid late payment penalties.
- From April 2023, HMRC moved to a points-based penalty system for late VAT returns/payments — persistent lateness accumulates points leading to fixed penalties, so treat VAT deadlines as non-negotiable.

6. Setting Up Xero Accounting Software

Initial setup

1. Create a new Xero organisation for the limited company

Do not reuse your sole trader Xero file — start fresh, with the company's legal name, registration number, and VAT number once received.

2. Set your conversion/start date

Usually the date the company started trading (or incorporation date if no prior trading). If you are moving from a sole trader Xero file, your accountant can help import opening balances/stock values correctly.

3. Set financial year end and VAT settings

Match your Companies House accounting reference date, choose your VAT scheme and quarter dates, and turn on Making Tax Digital in Xero's VAT settings, linking it to your Government Gateway credentials.

4. Build your chart of accounts

Xero's default UK chart of accounts is a good starting point. Add e-commerce-specific codes, e.g.: "Sales – Own Website," "Sales – Amazon," "Sales – eBay/Etsy," "Marketplace Fees," "Shipping & Postage," "Merchant Fees (Stripe/PayPal)," "Stock/Inventory Purchases," "Software Subscriptions."

5. Connect your Monzo Business bank feed

In Xero, go to "Bank Accounts" ! "Add Bank Account" ! search Monzo ! authorise the connection. Transactions will then flow in automatically each day for you to categorise/reconcile.

6. Connect your sales channels

Use Xero's app marketplace (or apps like A2X, Link My Books, or native Shopify/Amazon integrations) to bring in sales, fees, and refunds at a summary level rather than importing every individual order line — this is the single biggest time-saver for e-commerce bookkeeping.

7. Set up recurring bills and repeating invoices

For predictable costs (software subscriptions, warehouse rent, etc.), set these as repeating bills so they auto-populate.

8. Invite your accountant/bookkeeper as a user

Give them "Adviser" access rather than sending spreadsheets or exports back and forth.

Ongoing use of Xero

- Reconcile the bank feed at least weekly — matching each bank line to an invoice/bill/sales summary. This is the core discipline of good bookkeeping.
- Use bank rules for repeating transactions (e.g. "any transaction from Royal Mail !" code to Postage") to speed up reconciliation.
- Photograph/upload receipts via the Xero mobile app (or Hubdoc, included with some Xero plans) at the point of purchase, rather than keeping paper receipts to process later.
- Review the "Short-Term Cash Flow" and "Business Snapshot" reports monthly to keep an eye on the health of the business, not just at year end.
- Run a VAT return draft in Xero a few days before the deadline, review it for anything miscoded, then file directly to HMRC from within Xero.
- Track stock/inventory — Xero has basic inventory tracking; for a growing e-commerce business,

consider a dedicated inventory app (e.g. Unleashed, Cin7, DEAR) integrated with Xero once volume grows.

7. Record-Keeping: What You Must Do From Day One

Yes — record-keeping obligations start immediately on incorporation, even before you have made a single sale. This surprises many new directors.

From the moment the company is incorporated, you must keep:

- Statutory registers: register of members (shareholders), register of directors, register of directors' residential addresses, register of PSCs (people with significant control), and a record of any charges/mortgages over company assets.
- A registered office and the statutory registers available for inspection (Companies House allows these to be kept digitally, but they must exist and be accurate from day one).
- Minutes of key decisions — e.g. the board resolution appointing you as director, allotting shares, opening the bank account, and (later) declaring dividends. Even for a one-person company, keep a simple dated written record of major decisions.
- Accounting records: every sale, purchase, asset, liability, receipt and payment, stock levels (if applicable), and details of goods bought and sold — from day one of the company's existence, not from when you first invoice a customer.

How long to keep records

Companies must generally keep accounting records for at least 6 years from the end of the financial year they relate to (HMRC can require longer, e.g. if you file a return late, if you're under enquiry, or if the records relate to a transaction spanning more than one accounting period, such as capital assets). Keep VAT records for 6 years, and PAYE records for at least 3 years after the tax year they relate to.

Practical tip

Because Xero and your bank feed retain records digitally, and Companies House/HMRC accept digital record-keeping, you do not need paper files for most things. Just make sure everything is backed up (Xero is cloud-hosted so this is largely automatic) and that receipts are legible scans/photos, not just bank line descriptions.

8. Your Legal & Accounting Reporting Obligations

Once incorporated, you have ongoing obligations to two separate bodies — Companies House (company law) and HMRC (tax) — plus, once VAT-registered, quarterly VAT obligations. Below is what each requires.

A. Companies House obligations

- Confirmation statement — filed at least once every 12 months, confirming your registered office, directors, shareholders, PSCs and SIC code are up to date. Small filing fee applies (currently £34 online).
- Annual (statutory) accounts — filed every year, deadline 9 months after your financial year end (the first set of accounts after incorporation instead has a special deadline of 21 months after the date of incorporation).
- Notify changes promptly — e.g. change of director, registered office, PSC, or accounting reference date, generally within 14 days of the change.
- Small/micro-entity accounts — most businesses at your turnover level will qualify for "micro-entity" or "small company" simplified accounts, which require less disclosure than full statutory accounts (but you must still prepare full accounts for your own/HMRC purposes; only the filed version is abbreviated). Note: from 2027, Companies House is removing the option for small companies to file abbreviated/filleted accounts without a profit & loss account, as part of transparency reforms — check the latest position nearer the time.

B. HMRC obligations (Corporation Tax)

- Register for Corporation Tax within 3 months of starting to trade.
- File a Company Tax Return (CT600) every year, within 12 months of the end of your Corporation Tax accounting period.
- Pay Corporation Tax within 9 months and 1 day of the end of your accounting period — note this is BEFORE the CT600 filing deadline, so you must calculate and pay the tax before you are required to file the return.
- Current Corporation Tax rates (2026): 19% "small profits rate" on profits up to £50,000; 25% "main rate" above £250,000; marginal relief tapering the rate between £50,000–£250,000. At your profit levels you will likely be at or near the small profits rate, but this depends on total company profits and any associated companies.

C. HMRC obligations (VAT, once registered)

- File VAT returns (usually quarterly) via MTD-compatible software, one month and 7 days after quarter end.
- Pay VAT owed by the same deadline as the return — set up a Direct Debit to avoid missing.
- Keep digital VAT records under Making Tax Digital rules.

D. Personal tax obligations (as a director/shareholder)

- If you take a salary through PAYE, the company must run payroll, deduct/report Income Tax and National Insurance via Real Time Information (RTI) to HMRC, even for a single director.
- If you take dividends, you personally must complete a Self Assessment tax return and declare dividend income (and any salary/other income), by 31 January following the tax year (with a 31 October paper deadline, though almost everyone files online).

- Keep a dividend voucher and board minute for every dividend declared — this is a legal requirement, not just good practice, and matters if HMRC ever queries whether a dividend was validly declared out of distributable profits.

E. Employer obligations (if you have any staff, including yourself on payroll)

- Register as an employer with HMRC before the first payday.
 - Operate PAYE, and auto-enrol eligible staff (including possibly yourself, depending on salary level) into a workplace pension scheme.
 - File payroll information (Full Payment Submission) to HMRC on or before each payday.

9. Key Deadlines at a Glance

Obligation	Deadline	Body
Register for Corporation Tax	Within 3 months of starting to trade	HMRC
First annual accounts	21 months after date of incorporation	Companies House
Annual accounts (subsequent years)	9 months after financial year end	Companies House
Confirmation statement	At least every 12 months	Companies House
Company Tax Return (CT600)	12 months after end of accounting period	HMRC
Corporation Tax payment	9 months + 1 day after end of accounting period	HMRC
VAT registration (if over threshold)	30 days after crossing £90,000 rolling 12-month turnover	HMRC
VAT returns & payment	1 month + 7 days after each VAT quarter end	HMRC
Self Assessment (dividends/salary)	31 January following the tax year end (online)	HMRC
Notify Companies House of changes	Within 14 days of the change (e.g. new director)	Companies House

Important timing quirk

Corporation Tax must be PAID (9 months + 1 day after year end) before the Company Tax Return is due to be FILED (12 months after year end). Many new directors miss this and assume the payment deadline matches the filing deadline — it does not. Calculate your tax liability early so you can pay on time even if the return itself is filed later.

10. Do You Need an Accountant?

Strictly, no — nothing legally requires you to use an accountant. In practice, at your turnover and with your first year of incorporation, VAT registration, and payroll decisions all happening at once, most business owners benefit significantly from at least some professional support. A pragmatic middle path works well for many small e-commerce companies:

Where an accountant adds the most value

- One-off setup review: confirming your incorporation structure, VAT scheme choice, and salary/dividend strategy before you commit — this is where mistakes are most costly and hardest to unwind.
- Year-end statutory accounts and Company Tax Return (CT600): technically complex, and errors can trigger HMRC enquiries or Companies House penalties. Most sole director/shareholders outsource this even if they self-manage day-to-day bookkeeping.
- Payroll administration if you have any employees (including yourself) — small ongoing task but easy to get wrong on tax codes/pension auto-enrolment.
- Ad hoc advice — e.g. if you take on a business partner, raise investment, expand into another country's marketplaces (triggering foreign VAT/customs questions), or approach the £250,000 profit threshold where Corporation Tax rates change.

What you can reasonably do yourself with Xero

- Day-to-day bank reconciliation and categorising transactions.
- Raising sales invoices (if you invoice B2B customers directly) and paying bills.
- Preparing and filing VAT returns once your bookkeeping is clean (Xero automates much of this).
- Basic management reporting (profit & loss, cash flow) to run the business day to day.

A sensible model to start with

Many small e-commerce companies use a qualified accountant/bookkeeping firm for: company formation review, annual statutory accounts + CT600, and an annual (or quarterly) VAT/bookkeeping health check — while the owner does the weekly reconciliation and invoice entry themselves in Xero. Expect to pay roughly £60–£150+ per month for this level of service from a small UK accountancy practice at your turnover (varies significantly by firm, region and scope) — get 2–3 quotes and check they are used to e-commerce/marketplace clients specifically, since fee/marketplace accounting (Amazon, Shopify, eBay) has quirks that generalist accountants sometimes miss.

11. Best-Practice Bookkeeping Habits

Weekly habits

- Reconcile all Monzo bank feed transactions in Xero — aim for zero unreconciled items older than 7 days.
- Photograph/upload any paper receipts (fuel, stock collected in person, cash purchases) immediately.
- Check the "Tax" pot in Monzo is being topped up in line with sales (e.g. automatically moving ~20–25% of incoming revenue to cover VAT and Corporation Tax).

Monthly habits

- Reconcile marketplace/payment processor statements (Stripe, PayPal, Amazon Seller Central, Shopify Payments) against what has landed in the bank — fees and payout timing differences are the most common source of "missing money" confusion.
- Review the Profit & Loss report in Xero against the prior month and against a simple budget, to catch cost creep or margin erosion early.
- Reconcile stock/inventory levels if you use an inventory app, to catch shrinkage, miscounts or costing errors.
- Chase any unpaid customer invoices (if you sell B2B/on credit terms) — Xero can automate payment reminders.

Quarterly habits

- Prepare and review the VAT return in draft before filing — check for miscategorised transactions especially anything that should be exempt/zero-rated (e.g. some shipping, digital services sold overseas) or reverse-charged (services bought from overseas suppliers).
- Set aside the VAT payment as soon as the return is filed, ahead of the payment deadline.
- Do a quick "sanity check" of the balance sheet — does the bank balance in Xero match the Monzo balance? Do debtors/creditors look right?

Annual habits

- Start pulling together documents for your accountant 6–8 weeks before your year end, e.g. year-end stock count, any outstanding invoices, fixed asset purchases.
- Review your salary/dividend strategy each tax year based on updated dividend allowance bands and your personal circumstances.
- Review whether your VAT scheme is still the best fit as turnover grows (e.g. you may be eligible for the Flat Rate or Annual Accounting eligibility).
- File your confirmation statement and check all Companies House details (directors, registered office, SIC code) are current.

General good practice

- One business bank account, one purpose: never pay for personal items from the business account, even "to be reimbursed later" — it creates bookkeeping noise and potential double-counting complications.
- Code transactions consistently — agree a simple chart of accounts with your accountant to it, rather than creating new categories ad hoc.
- Keep supporting evidence for every expense claimed, not just a bank line item — HMRC can disallow expenses without proper evidence (VAT invoices, receipts).
- Automate wherever possible: bank feeds, marketplace integrations, reconciliation.

Direct Debits for VAT/Corporation Tax all reduce manual error and time

- Keep a simple 12-month cash flow forecast, updated monthly, so that

12. Common Beginner Mistakes to Avoid

- Treating the company bank account like a personal account — leads to a messy "director's loan account" and potential extra tax (Section 455 tax) if you owe the company money at year end.
- Not putting aside money for VAT/Corporation Tax as you go, then facing a large unexpected bill.
- Choosing the Flat Rate VAT scheme without modelling it against standard VAT accounting first — often worse for stock-based e-commerce.
- Forgetting that Corporation Tax must be paid before the return is filed (see Section 9 warning).
- Letting marketplace fees, refunds and payout timing differences go unreconciled — this is the single biggest source of confused numbers in e-commerce bookkeeping.
- Not keeping board minutes/dividend vouchers — makes dividends legally invalid if ever challenged by HMRC.
- Assuming record-keeping starts only once you make your first sale — statutory record-keeping starts at incorporation.
- Missing the 21-month first accounts deadline because it is measured from incorporation, not from your first "normal" year end — easy to lose track of if you incorporate mid-year.

13. Quick-Reference Checklist

Setup phase

- ☐ Choose company name, director(s), shareholder(s), share structure, SIC code
- ☐ Register company at Companies House (Certificate of Incorporation received)
- ☐ Register for Corporation Tax with HMRC (within 3 months of trading)
- ☐ Open Monzo Business account, verify identity, update payout/payment details everywhere
- ☐ Set up Xero organisation, connect Monzo feed, build chart of accounts, connect marketplaces
- ☐ Register for VAT (or transfer VAT registration via TOGC), choose VAT scheme, enable MTD in Xero
- ☐ Register as an employer / set up payroll if taking a salary
 - ☐ Set up statutory registers, registered office, board minute templates
 - ☐ Arrange business insurance
 - ☐ Book a setup consultation with an accountant

Ongoing (recurring)

- ☐ Weekly: reconcile bank feed, upload receipts
- ☐ Monthly: reconcile marketplace payouts, review P&L, chase invoices
- ☐ Quarterly: file & pay VAT return
- ☐ Annually: confirmation statement, statutory accounts, CT600, Corporation Tax Assessment for dividends/salary, review VAT scheme & salary/dividend strategy

Disclaimer

This document is general educational guidance based on UK rules as understood in 2026 and is not personalised tax, legal or financial advice. Company law, tax rates, and thresholds (including the VAT registration threshold, Corporation Tax rates, and Companies House fees/deadlines) change over time — always verify current figures on gov.uk or with a qualified UK accountant before making decisions, and take advice specific to your circumstances, especially regarding the sole-trader-to-limited-company transition and VAT registration transfer.